



CHALDAL.COM: AN EXTENSIVE EXAMINATION OF E-BUSINESS METHODOLOGIES IN BANGLADESH'S VIRTUAL RETAIL ENVIRONMENT

Team: The Ultimate Scammers



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Dear Ms Limuza Fairuz,

Subject: Acknowledgement for Term Paper Submission

We hope you are well and in a good mood when you receive this letter. This letter serves as official confirmation that our group's term paper, "Chaldal.com: An Extensive Examination of E-Business Methodologies in Bangladesh's Virtual Retail Environment," has been turned in. The E-Business Management course criteria have been satisfied with this submission.

Our team, "The Ultimate Scammers," has been working hard on this project to present a detailed analysis of the e-business practices used by Chaldal.com.

We have tried to provide a comprehensive analysis of Chaldal.com's operations, covering its e-channel structure, digital strategy, business and revenue models, and security protocols. We think that our research sheds important light on the dynamics of e-business in Bangladesh's online retail sector.

We would like to thank you for all your help and advice this term; it has greatly contributed to our grasp of e-business management. Your suggestions and wisdom have been helpful to us as we've refined our analysis.

We appreciate you giving us the chance to investigate and learn more about the exciting field of e-business. We eagerly await your comments regarding our term paper.

Sincerely,

The Ultimate Scammers

Executive Summary

This research presents a thorough analysis of Chaldal.com's e-business practices. Chaldal.com is one of the major participants in Bangladesh's online retailing e-business environment. Chaldal began operations in 2013 to offer clients alternatives for groceries and everyday necessities. The company takes online orders and delivers the products to customers' homes. They implemented several operational methods, most of which are based on Internet technology, to guarantee high-quality service. Chaldal employs specialised management software designed to meet their needs, starting with order taking and continuing with customer relationship management and business resource planning. This software is created in-house by IT specialists. Their business model is primarily focused on product sales. Even if they are vulnerable to various challenges, just like any other online firm, they are shrewd enough to avoid any obstacles by assembling a team of well-known professionals.

Keywords: Chaldal.com, E-business practices, Online retailing, Grocery e-commerce, Business models, Revenue models, E-channel structure, E-business security.

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Introduction

One of the biggest online grocery shops in our nation is Chaldal.com. Tejas Viswanath, Zia Ashraf, and Waseem Alim launched it in 2013. In Dhaka, it boasts more than 250 business clients and more than 200k members. It offers internet-based services such as food product purchases and delivery to all areas of Dhaka. They had one cycle, one delivery executive, two orders, and no complaints when they first opened for business. They had a van, two delivery executives, an accountant, and the COO on delivery on the sixteenth day. As of 2021, they have 200 daily orders, 100 employees, and 22 cars. They don't need to turn around from that position because they currently employ 250 people, have 50 covered vehicles, and 50 motorcycles, and process more than 200 orders every day. As of 2022, Dhaka, Chittagong and Jashore are included in their geographic boundaries.

Requirement 1

E-business in Organization

Context:

Chaldal.com offers the ability to place product orders through their websites, which provide an extensive assortment of various supermarket items from various companies. Clients select what they want from the catalogue, place an order, and wait for free delivery within an hour or two of the order being processed.

Mission:

“Save people’s time and money for the important things in life.” - Their goal is to sell high-quality products online to the entire population of Dhaka, Chittagong and Jashore. They also wish to offer a one-hour delivery service throughout the entire city of Dhaka, Chittagong and Jashore.

Vision:

“Save Time. Save Money.” - Chaldal intends to use online services to help customers save money and time. People can use the internet to place orders from any location. It is mostly helpful to those in corporate settings. They will save money and time as a result.

- **Promises:**

- ✓ Customer service.

- ✓ Quality Product.
- ✓ Fresh Vegetables.
- ✓ Low Price.

Range of products/services:

They mostly sell groceries, bakery goods, pet food, and other household essentials. They deliver their goods in an hour. They maintain a high standard of quality, sell over 15,000 products across multiple categories in 25 warehouses, accept phone orders, and provide a 7-day return policy as of the year 2022.

- **Key business focus:**

It aspired to be "Amazon Fresh of Dhaka" when it started. With 250–350 deliveries every day on average in Dhaka as of 2021, the company now intends to branch out into other Bangladeshi cities. Giving consumers the impression of shopping in a large, selection-filled box store is its aim.

E-business Model:

Chaldal follows only two E-business models such as,

1. Business-to-Consumer (B2C) Model: Chaldal offers its goods directly to customers using a business-to-consumer (B2C) business model. Customers can view the products that are shown on Chaldal's website. The client can select a product and place an order for it. The website will notify Chaldal via email, and Chaldal will then ship the product or items to the buyer.
2. Business to Business (B2B) Model: Chaldal sells its goods to an intermediary buyer who subsequently sells them to the final client, adhering to the B2B business model. As an illustration, a wholesaler orders from a child's website, and upon receiving the consignment, the wholesaler sells the finished product to a final consumer who visits the wholesaler's retail location to purchase it.

Drivers of e-business adoption in organization

The adoption of the E-Business model is influenced by a variety of elements, which Chaldal must take into consideration before deciding to apply it. The process by which an organisation gains the ability to conduct business electronically is known as adoption. Perceived benefits,

outside pressure, perceived cost, and organisational readiness are the factors driving the adoption of the E-Business model. The drivers influence decision-making in numerous ways and originate from Chaldal's internal and external business context.

Management of e-business in an organization

The way people purchase and sell goods and services worldwide has evolved due to e-commerce. Chaldal's management has several obstacles and challenges in running the company, including keeping up with changing technologies, acquiring and retaining clients, monitoring competitor movements, e-business security, e-business rules, taxation, and more. These are difficulties that the management must handle with extreme caution.

Requirement 2

E-business Revenue Model

The value proposition of the business model:

Since its inception in the nation, Chaldal has been unique. People in Dhaka, one of the world's densest cities, must spend a lot of time stuck in traffic and on clogged roads. Chaldal.com is a unique value proposition for e-business because it can assist in delivering things to our doorstep without wasting a lot of time in Dhaka, Chittagong and Jashore.

Revenue Model:

Chaldal.com uses the Web Catalogue Revenue Model or Sales Based Revenue Model. In essence, the web catalogue revenue model is an electronic adaptation of the conventional retail revenue model that is based on catalogues. Chaldal's sole source of income is from product sales. This is the only method available for generating income.

Online Marketplace Structure:

- Characteristics of product and service: Chaldal is a retail store that operates online. Their primary products are pet food, groceries, bakery goods, and home utilities.
- Market Segment: Chaldal divided its customer base primarily into two groups: those with corporate jobs and those with less time to shop for everyday high-ticket items.
- Revenue generating strategy: Its products are the only source of income. The only way to make money is by selling goods.

- **Marketplace Structure:** Currently, one of the largest internet retailers in the nation is Chaldal. They have several offices and outlets in Banani, Rajarbag, Gulshan, and Bashundhara in addition to their main office in Uttara. They have also established offices in Chittagong and Jashore.

Requirement 3

E-business platform/infrastructure

E-business application service -

- **Enterprise Resource Planning**

Chaldal.com manages its inventory, supply chain, internal operations, and delivery using a customised integrated enterprise resource planning (ERP). They deal with a lot of perishable supermarket items in their line of work. Therefore, they must keep track of the items' expiration dates and replace them.

To manage these processes, their bespoke ERP is made to forecast product requirements and inform executives of the need for procurement as well as available vendors. Additionally, the job order is instantly updated in the delivery team's mobile application whenever an order is submitted, following verification by the operations team and central coordination. Chaldal's enterprise resources are managed in this manner.

- **Customer Relationship Management**

CRM systems in Chaldal are made to gather data on clients from several channels, or points of contact between the client and the business, such as the website, phone, email, and social media accounts. Employees who interact with consumers can also get comprehensive information about their details, past purchases, preferences for purchases, and issues from Chaldal's CRM systems. They thus regularly contact the customer about their new services via phone, email, and automated text messaging using this information.

- **Android and IOS based Applications -**

1. For customers - Chaldal created a customer-focused ordering application for the Android and iOS platforms to accept orders from clients. To use their service, any prospective client only needs to download the application and log in using their login credentials.

2. For the delivery/picking team - Only Chaldal's delivery team utilises an additional Android-based mobile application. When an order is placed using Chaldal's ordering database, the task order is automatically updated in the application database and assigned to the appropriate team member working in the delivery team, following any necessary verification by the operations team.

IT Use for E- E-Business Application

- **Internet** -

No intranet or extranet protocol is used in Chaldal for internal or external communication. They use the Internet for all forms of communication, and internet communication protocol is the foundation for all corporate software and apps. Every part of communication, from placing an order to updating inventory and alerting the delivery team, is done through the internet protocol.

- **Web Technology**

1. Web 2.0 - Web 2.0 refers to a collection of Internet-based tools. Chaldal's web-based apps are quick and dynamic, and they function similarly to desktop software since they leverage Web 2.0 technology. For instance, all of their online programs, including databases and webpages, are interactive and provide two-way communication, which improves both the company's and its customers' online responsiveness.
2. Electronic Transfer of Payments - All debit and credit cards are accepted in Chaldal, ranging from Visa to DBBL Nexus. However, they also accept cash on delivery, which is quite practical for Bangladeshi citizens. This is because they receive orders and money from overseas for deliveries within Bangladesh. When a card payment is made, they work with the individual banks to coordinate the management of these online payment systems.
3. Web Content Management Strategy - Chaldal's in-house content management team (CMT) handles web content management and refreshes the company's website and application material regularly. The CMT members log into the system base and update the following data from the back-end user interface whenever stocks, prices, or offers are modified. Only the CEO, Head of IT, and VP of IT Services and Online Communication are authorised to have overall master authority over the content management system.

Requirement 4

Digital Strategy for E-business

Strategy of Chaldal.com

ChalDal is an internet-based supermarket. They offer groceries for sale online. They don't have a corporate strategy because they don't operate any kind of retail store. ChalDal's primary goal is to sell groceries to customers.

They have established some company management tactics to market throughout Dhaka, Chittagong and Jashore. They first take internet orders from clients. Within an hour, they bring the goods. To win back client satisfaction, they are working to deliver their items to customers at convenient times. They attempt to add that item to their inventory if they don't have any products that customers would be interested in.

E-channel structure

Their primary focus is on the typical E-Business structure. They provide product images, and customers are ordering their preferred things online. Within an hour of receiving the orders, they are delivering their goods.

Analysis of E-Business Strategy

- **SWOT analysis**

- ❖ **Strength:**

1. Resources: Chaldal has the resources necessary to satisfy the demands of its clients. Their delivery window is limited to one hour, demonstrating their efficiency and dedication. They have 50 motorcycles and 20 cover vans to deliver the goods.
2. Different initiative: Grocery products are sold in a lot of stores. However, Chaldal is concentrating solely on consumer goods. They are the pioneers of this concept. So they have an early mover advantage.
3. Chaldal has low inventory costs. As they tie up with other stores, they don't usually have to stock their products that much in real-time.
4. Chaldal offers low delivery charges. There is a BDT 19 delivery fee for every order which makes it more affordable.
5. As Chaldal delivers the goods to customers, they can easily build a good relationship with customers.

❖ **Weakness:**

1. Lack of availability: The majority of Dhaka's, Chittagong and Jashore metropolises are covered by Chaldal, however, other cities —where people are increasingly interested in online shopping are not included.
2. Lack of trustworthiness: As customers have to choose products just from their catalogues and they can physically touch them, there remains an issue of trustworthiness in the process.

❖ **Opportunity:**

1. Online grocery: They possess both the potential and the ability to top the list of online grocery stores in Dhaka, Chittagong and Jashore. Individuals nowadays use the Internet more frequently. Thus, they ought to announce their existence to the populace. In the corporate market, they have the chance to capture a sizable chunk of the market share.
2. They can expand their operating areas outside of Dhaka, Chittagong and Jashore so that they can gain more customers.
3. They can expand their products so that customers don't have to leave their website and get what they want every time.

❖ **Threats:**

1. Competitor: Their rivals operate both online and brick-and-mortar establishments. It offers them a benefit. Once they have the customer's address, they can deliver the goods with great ease. They can expeditiously dispatch the merchandise from the closest store of that specific retailer. There, their market share is declining. The traffic in Dhaka city poses a further risk.
2. As the whole process is conducted online, the customers can't bargain for price here.
3. Any problem with the internet system or their websites may slow or temporarily stop their business.
4. As the whole process is conducted online, there is always the possibility of data breaches.

• **Competitive Threats:**

The business concept of Chaldal is relatively new in the context of Bangladesh. Their physical market rivals can push their company into the online space. Well-known physical supermarket chains like Meena Bazaar and Unimart launched their online stores. They have

a lot of money, so they can easily try to take over the online market. Since they are well-known companies and customers purchase there at least once a month, this may be a danger.

Chaldal wants to instil a stronger reaction in the thoughts of customers to keep them from receiving a favourable response. They must offer superior services. Customers will gravitate towards online retailers if they offer superior customer care compared to physical storefronts.

Fresh's performance in the corporate market is excellent. They are in contact with numerous businesses. They supply business homes and numerous manufacturing companies with groceries.

Chaldal needs to establish a stellar reputation in the consumer sector to take advantage of the corporate market. They can gain a sizable market share in the corporate market after seizing the consumer sector.

Direct Fresh and Meena Bazaar are two competitors of Chaldal in addition to conventional stores. Direct Fresh, on the other hand, specialises in selling organic produce and other high-quality food items, whereas Meena Bazaar is operated by a physical merchant under the Gemcon Group umbrella.

Requirement 5

E-business Security

Three IT security risks

- **Denial of Service (DOS) attacks-**

When a hacker floods a website with more meaningless traffic than the server can handle, the server begins to issue denial-of-service (DoS) messages to authorised users. System data consequently becomes inaccessible to authorised users.

- **Spoofing-**

Spoofing is the process of introducing false information into the system by pretending to be from a reliable source, using a false email address, or adopting a false identity. Therefore, consumers of Chaldal may get hoax emails intended to obtain personal information.

- **Wireless and Mobile Security-**

Mobile devices and wireless Internet connections are popular ways for businesses to access the Internet. Due to the possibility of outside users connecting and maybe listening in on conversations, wireless networks pose a security risk. Two of the dangers that have been identified are most likely to result in serious harm-

1. Password replication might be quite harmful. When a Chaldal employee enters their password to access their account, the password may be stored in memory for future login support. If that is the case, any other outsider attempting to access the device might use the password that was pre-deposited, leading to a security breach. Chaldal.com can employ a mobile verification mechanism to prevent these kinds of issues.
2. Even with password security, a wireless connection is not as safe as a cable connection. Because they are simple to misplace and utilise wireless connections, mobile gadgets can raise security risks. Chaldal's management of wireless networks for internet access in their warehouses and offices makes them extremely susceptible to this threat.

Recommendations

- Firewall- A firewall is a device or group of devices that is positioned in the path of two networks to separate a private network from a public network. The firewall will only permit the authorised traffic that is specified by Chaldal's security policy to pass through. They will find this to be quite beneficial in safeguarding their network.

Key Findings

- i. One of the biggest online grocery merchants, Chaldal.com, allows customers to order products directly from their websites.
- ii. Chaldal.com currently uses two different e-business models: B2C, which assists customers in selecting and ordering products, and B2B, which allows businesses to sell their goods to middlemen.
- iii. Chaldal.com offers a unique value proposition for e-business since it can assist in obtaining the products without wasting a lot of time.
- iv. The sales-based revenue model, which is simply an electronic adaptation of the conventional catalogue-based retail revenue model, is employed by Chaldal.com.

- v. Chahal.com makes use of a customised ERP system that forecasts product requirements, and CRM systems are made to gather data on clients through various channels.
- vi. Chaldal.com created an ordering application for iOS and Android that is focused on the needs of the consumer.
- vii. For internal and external communication, Chaldal.com employs the Internet rather than intranet or extranet protocols.
- viii. To create incredibly quick and effective web-based applications Technology from Web 2.0 is used in Chaldal.com.
- ix. Chaldal.com is easy to use because it takes a variety of payment methods, including PayPal, debit and credit cards, and cash on delivery services.
- x. Chaldal.com's in-house content management team (CMT) is responsible for updating the website and application material regularly.

Recommendations

- Growing Business: Chaldal.com has the potential to grow in areas outside of Dhaka, Chittagong and Jashore.
- Security System: Since Chaldal.com's entire business operates online, they can update their security system with the newest version. A firewall is one tool they can employ to stop unwanted access.
- Chaldal.com has the potential to enhance its distribution method. Since it's the biggest online food store in Bangladesh, delivery ought to happen more quickly. They can begin offering an emergency delivery service, in which case they will charge extra for delivery and deliver the merchandise a lot more quickly than usual.
- Customer Engagement: Chaldal.com can extend additional benefits to clients to build a more devoted clientele. To reward their devoted clients, they can offer discounts, gifts, and vouchers.
- Proper Customer research: A lot of people have reported that Chaldal frequently calls them and insists they buy goods from their website. But, those people reside in such places that Chaldal doesn't even operate. So, people often feel bothered and ignore their calls. So, Chaldal must first do a proper background check before calling, and make sure they are operating in that area.

Conclusion

Chaldal.com is steadily rising to prominence as a major internet retailer in Dhaka, Chittagong and Jashore. From the beginning, it has made an effort to provide high-quality service. In addition to providing excellent customer service, Chaldal has already made a solid reputation for itself among internet shoppers.

Given that two of the founders are from Silicon Valley, they are sufficiently confident in the security of Internet businesses. Their goal is to cover the entire city of Dhaka, Chittagong and Jashore quickly. "Time is valuable to fellow Dhaka, Chittagong and Jashore residents, and they should not have to waste hours in traffic, brave harsh weather, and wait in queue just to buy necessities like eggs!" is their catchphrase and core conviction. For this reason, they provide daily necessities to clients in Dhaka, Chittagong and Jashore at their doorsteps.

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